Illustration 20

The following is the summary of cash transactions of Delhi Literary Club for the year ending 31st March, 2019.

Delhi Literary Club

Receipts and Payments Account for the year ending 31st March, 2019

Receipts	₹	Payments	₹
To Balance b/d		By Rents and Rates	21,000
Cash in hand	3,200	By Lecture fees	4,500
To Entrance fees	2,300	By Sundry expenses	7,200
To Subscriptions	46,000	By Fixed deposit	40,000
To Life membership fees	2,500	By Balance c/d	
To Interest received on fixed deposit	500	Cash in hand	4,300
To Sale of furniture (on 1.4.2018)	22,500		
(Book value ₹ 25,000)			
	77,000		77,000

Additional information

(a) At the beginning of the year the club possessed books worth ₹ 20,000 and furniture worth ₹ 40,000.

(b) Subscription received in advance during the current year amounted to ₹ 1,000.

Prepare Income and Expenditure account of the club for the year ending 31st March, 2019 and the Balance sheet as on that date.

Solution

Tutorial note

To find the opening capital fund, opening balance sheet should be prepared.

In the books of Delhi Literary Club

Balance sheet as on 31st March, 2018

Liabilities	₹	Assets	₹
Capital fund	**63,200**	Furniture	40,000
(Balancing figure)		Books	20,000
		Cash in hand	3,200
	63,200		63,200

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